

CITATION: Picicci v. 1485528 Ontario Inc., 2014 ONSC 6496

COURT FILE NO.: CV-11-458296

DATE: 20141107

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: MARIA PICICCI

Plaintiff

-AND-

1485528 ONTARIO INC. operating as GRANT'S FOOD MART

Defendant

BEFORE: F.L. Myers J.

COUNSEL: S. Bhatt, for the plaintiff

A. King, for the defendant

HEARD: October 24 and November 6, 2014

ENDORSEMENT

[1] This matter came on before me originally as an undefended trial. The statement of claim was issued on July 9, 2012. The plaintiff filed an affidavit of service evidencing the service of the statement of claim on the defendant on July 18, 2012. No statement of defence was delivered by the defendant. Counsel for the plaintiff noted the defendant in default. She delivered a trial record dated November 26, 2013. The trial was scheduled for October 24, 2014.

[2] The plaintiff's counsel made appropriate efforts to notify the defendant of the scheduling of the undefended trial. These efforts bore fruit as the plaintiff's counsel received a telephone call from counsel for the defendant's insurer shortly before the trial. On October 24, 2014, counsel for both parties attended to adjourn the trial on consent. Counsel for the plaintiff sought costs equal to the plaintiff's full indemnity costs of the entire proceeding to date (although this view was subsequently moderated slightly). Counsel for the defendant conceded a willingness to pay costs thrown away by the adjournment i.e. costs wasted on unnecessary trial preparation, but proposed that the noting in default of the defendant be set aside summarily to crystallize the plaintiff's entitlement to costs thrown away and to allow the action to proceed. Counsel for the plaintiff, in response, indicated that she wished to receive an affidavit from the defendant to

prove that it had an acceptable reason for failing to defend and that it had an intention to defend throughout. Counsel submitted that the plaintiff had an entitlement to cross-examine on such an affidavit prior to determining whether to consent to lift the noting in default.

[3] By endorsement dated October 24, 2014, I ruled as follows:

Counsel attended at 3:30 p.m. as instructed by the trial coordinator. The plaintiff will consent to adjourn the trial to allow the defendant to seek to set aside the noting in default. The plaintiff wants \$15,000 in costs thrown away. The defendant wants the noting in default set aside too and will pay costs thrown away to avoid a motion. I direct the defendant's counsel to write to the plaintiff's counsel providing a will-say informally as to why the defendant failed to respond to the statement of claim. The parties are to see me on November 6, 2014 at 4 p.m. at Judges' Administration at 361 University to discuss scheduling of any motions and of the action itself. Costs reserved to that day. Counsel to consider *Hryniak v. Maulden*, 2014 SCC 1 at para. 28, to focus on efficiency and proportionality in the management of the case.

[4] The action is for damages arising from a slip and fall at the defendant's grocery store. The plaintiff claims that she broke her arm, her nose, and suffered dental damage in the fall among other things. She was 79 years old at the time. She was standing on a skid reaching for an onion at the back of a bin. She has since suffered more serious injuries from another fall. Accordingly, both liability and damages are in issue.

[5] At a case conference before me on November 6, 2014, the defendant's counsel produced a copy of his letter to the plaintiff's counsel dated November 3, 2014. The letter included a draft will-say of Mr. Rock Wei, the person whom the plaintiff's process server claims to have been served with the statement of claim. Mr. Wei apparently has no recollection of receiving the document. Moreover, he says he speaks very little English and would have required someone to interpret for him in any discussion with the process server. Interestingly, the affidavit of service of the process server contains the usual statement, "I was able to identify the person by means of asking and he identified himself to me."

[6] The plaintiff's counsel contends that she is entitled to test whether the defendant had a fixed intention to defend the proceeding. Given Mr. Wei's proposed evidence that he did not recall receiving the pleading, it is likely that the defendant will say that it never knew it was being sued and hence could not form an intention to defend. Then what?

[7] I invited the plaintiff's counsel to identify any prejudice to the plaintiff that could not be compensated with costs in the event that the defendant is allowed to defend. She was unable to do so because there is none. Moreover, it is likely in the plaintiff's interest to have an insurer at the table willing to proceed quickly and efficiently as a condition of admission.

[8] I cannot imagine a basis upon which requiring the defendant to move to re-open pleadings could be a valuable step in this proceeding. An effort to cross-examine the manager of the defendant's grocery store on whether he received a document two years ago provides no

information of relevancy or value to anyone. Moreover, the fact that the defendant is a substantial business, with multiple stores, and is properly insured and represented, strongly suggests that the statement of claim fell through the cracks (either by improper service or improper handling once received - whichever matters not). While the plaintiff should be compensated for costs thrown away, it is neither efficient, nor proportionate to investigate the noting in default further.¹ Accordingly, an order will go setting aside the noting in default as a term of the adjournment of the trial pursuant to rules 1.04 and 1.05 or pursuant to the inherent jurisdiction of the court to control its process.

[9] As to costs thrown away, the plaintiff's bill of costs was based upon her lawyer's full rates. On that basis, the costs thrown away claimed are approximately \$8,950 plus HST. In my view, it is fair and reasonable, in light of the principles in *Boucher v. Public Accountants Council (Ontario)* 2004 CanLII 14579 (ON CA), (2004), 71 OR (3d) 291 (Ont CA), at paras 26, 37, that the defendant pay to the plaintiff the sum of \$4,000 plus HST for costs thrown away on a partial indemnity basis.

[10] In addition, this action is to proceed with alacrity. The plaintiff's has already provided the bulk of her medical records to counsel for the defendant. The defendant will deliver its statement of defense within 20 days. Counsel have agreed to attend, with clients, for a one hour case conference on January 6, 2015, at which the court will assist the parties to discuss settlement of the lawsuit. In the event that no settlement is reached, examinations for discovery are to be completed before January 31, 2015. Counsel will exchange brief written statements of their opening positions for mediation/case conference by December 12, 2014.

[11] All documents to be delivered to me in this matter should be sent to the court as attachments to emails or on memory keys/sticks. The documents should be in searchable pdf format. Reference to case law, if any, should be by hyperlinks to CanLII or another online source if necessary. If counsel need assistance with format, resort may be had to <http://www.ontariocourts.ca/scj/practice/practice-directions/edelivery-scj/>.

[12] If memory keys are being delivered to the court, they should not be filed with the registrar, but should be delivered to my attention in care of Judges' Administration, Room 170, 361 University Avenue.

[13] The court will be available by email in real time to assist if any issues arise which threaten the completion of any examinations that are scheduled. Moreover, any issues concerning refusals and undertakings (including questions taken under advisement) will be resolved summarily by the court. All undertakings are to be answered within 30 days of being given. The times set out in Rule 53.03 for delivery of experts' reports are to be strictly adhered to.

¹ Should there be a trial of the issues on the competing evidence of the process server and Mr. Wei? To state the proposition is to reject it.

[14] This claim involves a likely range of recovery that is very susceptible to significant erosion by costs. It is of foremost importance that the claim proceed quickly and inexpensively to the earliest resolution available.

F.L. Myers J.

Date: November 7, 2014